Overall balance = Current account balance + Capital account balance

If there is a positive balance it increases the reserve and vice-versa.

V. Reserves

Reserve means foreign exchange reserve. The sum of current and capital account balance is the balance of payment.

Balance of payment = current account balance + capital account balance

The balance is added to foreign exchange reserve if the balance of payment is in surplus. The balance is deducted if the balance of payment is in deficit. It means payment is made out of old balance (foreign exchange reserve).

The foreign exchange reserve consists of

Foreign Currency Assets

Gold Stock of RBI

SDR (Special Drawing Right) holdings of the government

Reserve Tranche

Foreign Currency Assets

Currencies of various countries are held in foreign exchange reserve. It is expressed in US Dollar or Indian rupee terms after converting currencies of various countries by their respective exchange rate against the US Dollar or Indian Rupee respectively. Apart from currency it also includes foreign currency deposits held by RBI with foreign central banks, the BIS and non-resident deposit taking institutions as well as deposit agreements with IMF Trust Accounts that are readily available to meet a BoP financing need. The securities issued by non-residents and financial derivatives having underlying